Barclays Bank of Kenya Limited Financial Statements

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 30 June 2019

	Bank				Group			
	June 2018 Shs '000 Unaudited	December 2018 Shs '000 Audited	March 2019 Shs '000 Unaudited	June 2019 Shs '000 Unaudited	June 2018 Shs '000 Unaudited	December 2018 Shs '000 Audited	March 2019 Shs '000 Unaudited	June 2019 Shs '000 Unaudited
I Statement of financial position								
A Assets								
1 Cash balances (both local and foreign)	3,716,776	5,814,633	4,499,813	4,751,709	3,716,776	5,814,633	4,499,813	4,751,709
2 Balances due from Central Bank of Kenya	11,999,550	17,716,625	17,578,406	20,692,542	11,999,550	17,716,625	17,578,406	20,692,542
3 Kenya government and other securities held for dealing purposes	22,985,975	29,708,449	33,840,168	32,861,890	22,985,975	29,708,449	33,840,168	32,861,890
4 Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5 Investment securities:	-	-	-	-	-	-	-	-
a) Held to Maturity:	-	-	-	-	-	-	-	-
a. Kenya government securities	-	-	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-	-	-
b) Available for sale:	70,243,356	63,120,004	82,693,442	80,767,119	70,342,919	63,230,224	83,110,015	81,185,169
a. Kenya government securities	70,243,356	63,120,004	82,693,442	80,767,119	70,342,919	63,230,224	83,110,015	81,185,169
b. Other securities	-	-	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	3,300,000	1,000,000	102,295	61,444	3,300,000	1,000,000	102,295	61,444
7 Deposits and balances due from banking Institutions abroad	6,587,838	5,571,788	2,457,444	3,919,750	6,587,838	5,571,788	2,457,444	3,919,750
8 Tax recoverable	568,789	-	-	127,877	648,250	-	-	197,384
9 Loans and advances to customers(net)	176,115,166	177,353,969	180,498,811	186,655,050	176,115,166	177,353,969	180,498,811	186,655,050
10 Balances due from banking institutions in the group	9,323,729	9,126,358	9,142,333	9,592,199	9,323,729	9,126,358	9,142,333	9,592,199
11 Investment in associates	-	-	-	-	-	-	-	-
12 Investment in subsidiary companies	362,761	362,761	362,761	362,761	-	-	-	-
13 Investment in joint ventures	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-
15 Property and equipment	2,548,482	2,336,349	3,167,197	2,940,103	2,548,482	2,336,654	3,167,497	2,940,347
16 Prepaid operating rental leases	46,395	45,486	45,486	45,486	46,395	45,486	45,486	45,486
17 Intangible assets	909,681	830,570	745,775	680,414	955,341	878,291	805,246	739,885
18 Deferred tax	1,622,723	2,156,682	2,468,813	2,179,389	1,639,148	2,177,325	2,497,036	2,205,508
19 Retirement benefit asset	-	-	-	15,438	-	-	-	15,438
20 Other assets	6,676,090	10,219,063	7,900,116	8,087,530	6,419,286	9,879,864	7,683,582	7,973,105
21 Total assets	**317,007,311**	**325,362,737**	**345,502,860**	**353,740,701**	**316,628,855**	**324,839,666**	**345,428,132**	**353,836,906**
B Liabilities								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customers' deposits	217,101,933	207,725,834	223,982,507	229,669,376	216,808,933	207,407,834	223,982,507	229,669,376
24 Deposits and balances due to banking institutions (local)	4,569,068	4,699,903	6,304,816	7,371,956	4,569,068	4,699,903	6,304,816	7,371,956
25 Deposits and balances due to banking institutions (foreign)	865,643	607,722	940,340	456,055	865,643	607,722	940,340	456,055
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	-	-	-	-	-	-	-	-
28 Balances due to banking institutions in the group	41,894,249	57,034,375	55,638,779	60,726,688	41,894,249	57,034,375	55,638,779	60,726,688
29 Tax payable	-	96,425	1,229,738	-	-	25,803	1,205,757	-
30 Dividends payable	1,086,307	-	-	1,086,307	1,086,307	-	-	1,086,307
31 Deferred tax liability	-	-	-	-	-	-	-	-
32 Retirement benefit liability	16,446	-	5,424	-	16,446	-	5,424	-
33 Other liabilities	11,359,577	11,805,035	12,257,992	12,973,759	10,581,313	10,857,085	11,295,816	12,139,183
34 Total liabilities	**276,893,223**	**281,969,294**	**300,359,596**	**312,284,141**	**275,821,959**	**280,632,722**	**299,373,439**	**311,449,565**
C Shareholders' funds								
35 Paid up /assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium/(discount)	-	-	-	-	-	-	-	-
37 Revaluation reserves	409,248	528,656	671,353	1,011,426	408,085	529,956	673,747	1,012,277
38 Retained earnings/(accumulated losses)	36,806,068	35,072,273	36,673,782	37,544,612	37,500,039	35,884,474	37,582,817	38,474,542
39 Statutory loan loss reserve	-	-	-	-	-	-	-	-
40 Other reserves	183,004	188,364	193,979	184,754	183,004	188,364	193,979	184,754
41 Proposed dividend	-	4,888,382	4,888,382	-	-	4,888,382	4,888,382	-
42 Capital grants	-	-	-	-	-	-	-	-
43 Total shareholders' funds	**40,114,088**	**43,393,443**	**45,143,264**	**41,456,560**	**40,806,896**	**44,206,944**	**46,054,693**	**42,387,341**
44 Minority interest	-	-	-	-	-	-	-	-
45 Total liabilities and total shareholders funds	**317,007,311**	**325,362,737**	**345,502,860**	**353,740,701**	**316,628,855**	**324,839,666**	**345,428,132**	**353,836,906**
II Statement of comprehensive income								
1.0 Interest Income								
1.1 Loans and advances to customers	10,549,748	21,527,991	5,415,186	10,963,147	10,549,748	21,527,991	5,415,186	10,963,147
1.2 Government securities	3,516,094	7,372,947	1,933,065	4,046,998	3,520,758	7,382,300	1,937,435	4,062,064
1.3 Deposits and placements with banking institutions	68,304	151,002	63,632	157,796	68,304	151,002	63,632	157,796
1.4 Other interest income	-	-	-	-	-	-	-	-
1.5 Total interest income	**14,134,146**	**29,051,940**	**7,411,883**	**15,167,941**	**14,138,810**	**29,061,293**	**7,416,253**	**15,183,007**
2.0 Interest expenses								
2.1 Customer deposits	2,756,198	6,126,393	1,760,848	3,440,585	2,756,199	6,126,393	1,760,848	3,440,585
2.2 Deposits and placements with banking institutions	427,647	965,455	269,006	643,492	416,090	942,489	266,001	640,487
2.3 Other interest expenses	-	-	-	69,474	-	-	-	69,474
2.4 Total interest expenses	**3,183,845**	**7,091,848**	**2,029,854**	**4,153,551**	**3,172,289**	**7,068,882**	**2,026,849**	**4,150,546**
3.0 Net interest income	**10,950,301**	**21,960,092**	**5,382,029**	**11,014,390**	**10,966,521**	**21,992,411**	**5,389,404**	**11,032,461**
4.0 Non-interest income								
4.1 Fees and commissions income on loans & advances	474,321	1,052,491	359,090	668,648	474,321	1,052,491	359,090	668,648
4.2 Other fees and commissions	2,018,495	4,051,940	989,684	2,136,696	2,291,059	4,572,316	1,160,116	2,404,857
4.3 Foreign exchange trading income	1,641,627	3,279,548	775,710	1,707,565	1,641,627	3,279,548	775,710	1,707,565
4.4 Dividend income	-	-	-	-	-	-	-	-
4.5 Other income	289,923	797,715	269,218	505,587	289,924	797,715	269,218	505,587
4.6 Total non-interest income	**4,424,366**	**9,181,694**	**2,393,702**	**5,018,496**	**4,696,931**	**9,702,070**	**2,564,134**	**5,286,657**
5.0 Total operating income	**15,374,667**	**31,141,786**	**7,775,731**	**16,032,886**	**15,663,452**	**31,694,481**	**7,953,538**	**16,319,118**
6.0 Operating expenses								
6.1 Loan loss provision	1,716,942	3,870,757	636,675	1,640,985	1,716,942	3,870,757	636,675	1,641,335
6.2 Staff costs	5,051,770	9,647,106	2,301,689	4,708,660	5,104,533	9,768,076	2,336,106	4,784,344
6.3 Directors emoluments	73,169	147,115	37,167	83,645	74,452	152,761	38,707	86,725
6.4 Rental charge	590,563	1,137,573	156,477	37,813	595,938	1,150,784	148,511	38,296
6.5 Depreciation on property and equipment	421,535	792,031	281,926	550,401	421,535	792,031	281,926	550,401
6.6 Amortisation charges	204,593	407,066	100,606	194,839	204,593	407,066	100,606	194,839
6.7 Other operating expenses	2,250,730	4,890,066	1,369,951	2,729,356	2,259,642	4,907,275	1,382,407	2,749,607
7.0 Total operating expenses	**10,309,302**	**20,891,714**	**4,884,491**	**9,945,699**	**10,377,635**	**21,048,750**	**4,924,938**	**10,045,547**
Profit before tax and exceptional items	**5,065,365**	**10,250,072**	**2,891,240**	**6,087,187**	**5,285,817**	**10,645,731**	**3,028,600**	**6,273,571**
8.0 Exceptional items	-	-	243,410	560,810	-	-	243,410	560,810
9.0 Profit after exceptional items	**5,065,365**	**10,250,072**	**2,647,830**	**5,526,377**	**5,285,817**	**10,645,731**	**2,785,190**	**5,712,761**
10 Current tax	(1,706,134)	(3,810,433)	(1,134,948)	(1,913,698)	(1,775,813)	(3,942,754)	(1,181,590)	(1,985,671)
11 Deferred tax	248,521	704,485	287,416	144,756	252,065	713,065	296,050	150,624
12 Profit after tax and exceptional items	**3,607,752**	**7,144,124**	**1,800,298**	**3,757,435**	**3,762,069**	**7,416,042**	**1,899,650**	**3,877,714**
13 Other comprehensive income								
13.1 Gains/(losses) from translating the financial statements of foreign operations								
13.2 Fair value changes in available for sale financial assets	226,367	395,889	203,853	689,671	225,143	398,184	205,414	689,030
13.3 Revaluation surplus on property,plant and equipment	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(67,910)	(118,766)	(61,156)	(206,901)	(67,543)	(119,455)	(61,624)	(206,709)
14 Other comprehensive income for the year net of tax	**158,457**	**277,123**	**142,697**	**482,770**	**157,600**	**278,729**	**143,790**	**482,321**
15 Total comprehensive income for the year	**3,766,209**	**7,421,247**	**1,942,995**	**4,240,205**	**3,919,669**	**7,694,771**	**2,043,440**	**4,360,035**
Earnings per share (Shs)	0.66	1.32	0.33	0.69	0.69	1.37	0.35	0.71
Dividends per share (Shs)	0.20	1.10	-	0.20	0.20	1.10	-	0.20

	Bank			
	June 2018 Shs '000 Unaudited	December 2018 Shs '000 Audited	March 2019 Shs '000 Unaudited	June 2019 Shs '000 Unaudited
III Other disclosures				
1) Non-performing loans and advances				
a) Gross non-performing loans and advances	14,357,777	13,910,314	15,415,660	15,698,136
b) Less: Interest in suspense	3,426,117	3,086,729	2,995,035	3,021,320
c) Total non-performing loans and advances	**10,931,660**	**10,823,585**	**12,420,625**	**12,676,816**
d) less: loan loss provisions	6,368,460	6,543,088	7,454,825	8,363,114
e) Net non-performing loans(c-d)	**4,563,200**	**4,280,497**	**4,965,800**	**4,313,702**
f) Discounted value of securities	972,774	1,497,300	2,367,319	2,139,736
g) Net NPLs (excess)/exposure (e-f)	**3,590,426**	**2,783,197**	**2,598,481**	**2,173,966**
2) Insider loans and advances				
a) Directors ,shareholders and associates	42,120	40,764	40,286	39,821
b) Employees	11,051,378	10,652,129	10,457,027	10,486,064
c) Total insider loans and advances	**11,093,498**	**10,692,893**	**10,497,313**	**10,525,885**
3) Off balance sheet items				
a) Letters of credit ,guarantees, acceptances	30,228,325	28,371,577	22,212,163	21,042,420
b) Forwards, swaps and options	49,315,853	69,777,052	67,256,267	74,984,368
c) Other contingent liabilities	-	-	-	-
Total contingent liabilities	**79,544,178**	**98,148,629**	**89,468,430**	**96,026,788**
IV) Capital strength				
a) Core capital	37,717,960	37,788,041	38,489,401	38,381,663
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/(deficiency)	**36,717,960**	**36,788,041**	**37,489,401**	**37,381,663**
d) Supplementary capital	5,045,494	5,092,278	5,040,122	5,120,329
e) Total capital	**42,763,454**	**42,880,319**	**43,529,523**	**43,501,992**
f) Total risk weighted assets	**256,715,452**	**261,752,219**	**263,256,798**	**271,930,717**
g) Core capital / total deposit liabilities	17.6%	18.2%	17.3%	16.8%
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
i) Excess/(deficiency)	**9.6%**	**10.2%**	**9.3%**	**8.8%**
j) Core capital / total risk weighted assets	14.7%	14.4%	14.6%	14.1%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l) Excess/(deficiency)	**4.2%**	**3.9%**	**4.1%**	**3.6%**
m) Total capital / total risk weighted assets	16.7%	16.4%	16.5%	16.0%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o) Excess/(deficiency)	**2.2%**	**1.9%**	**2.0%**	**1.5%**
p) Adjusted Core Capital/Total Deposit Liabilities	17.9%	18.6%	17.5%	17.0%
q) Adjusted Core Capital/Total Risk Weighted Assets	15.0%	14.7%	14.8%	14.3%
r) Adjusted Total Capital/Total Risk Weighted Assets	16.9%	16.7%	16.7%	16.1%
5) Liquidity				
a) Liquidity ratio	38.3%	35.7%	41.1%	38.7%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c) Excess/(deficiency)	**18.3%**	**15.7%**	**21.1%**	**18.7%**

Summary consolidated statement of changes in equity

	Share Capital Shs'000	Revaluation reserves & other reserves Shs'000	Retained earnings Shs'000	Proposed Dividends Shs'000	Total equity Shs'000
Balance at 1 January 2019	2,715,768	718,320	35,884,474	4,888,382	44,206,944
Impact of adopting IFRS 16	-	-	(201,339)	-	(201,339)
Restated opening balance under IFRS 16	**2,715,768**	**718,320**	**35,683,135**	**4,888,382**	**44,005,605**
Profit for the year	-	-	3,877,714	-	3,877,714
Other comprehensive income for the year	-	482,321	-	-	482,321
Total comprehensive income for the year	-	482,321	3,877,714	-	4,360,035
Recognition of share-based payments	-	(3,610)	-	-	(3,610)
2018 final dividend paid	-	-	-	(4,888,382)	(4,888,382)
Interim dividend	-	-	(1,086,307)	-	(1,086,307)
Balance at 30 June 2019	**2,715,768**	**1,197,031**	**38,474,542**	**-**	**42,387,341**

Summary consolidated statement of cash flows

	June 2019 Unaudited Shs'000	December 2018 Audited Shs'000	June 2018 Unaudited Shs'000
Net cash flows from/(used) in operating activities	977,541	(10,379,023)	12,514,224
Net cash used in investing activities	(81,125)	(550,068)	(198,976)
Net cash used in financing activities	(4,888,382)	(5,431,536)	(4,345,229)
Net decrease in cash and cash equivalents	(3,991,966)	(16,360,627)	7,970,019
Cash and cash equivalents at 1 January	(26,691,122)	(10,330,495)	(10,330,495)
Cash and cash equivalents at 30 June	(30,683,088)	(26,691,122)	(2,360,476)

Message from the Directors:

The Board of Directors of Barclays Bank of Kenya Limited have resolved to declare an interim dividend for the year 2019 for Shs 0.20 per ordinary share of the Company to be paid on or about Friday, October 11, 2019 to shareholders registered at close of business on Friday, September 7, 2019.

These financial statements are extracts from the books of the institution and can be accessed on the institution's website www.barclays.co.ke. They may also be accessed at the institution's head office at The Westend Building, Waiyaki Way.

They were approved by the board on Thursday 29th August, 2019 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director

BARCLAYS

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